Is Entero Healthcare Following the Playbook of Programmatic Acquisition?

Deconstructing the "Repeatable M&A" Model: Lessons from PPFAS, the Constellation Standard, and the Reality of Entero's Balance Sheet.

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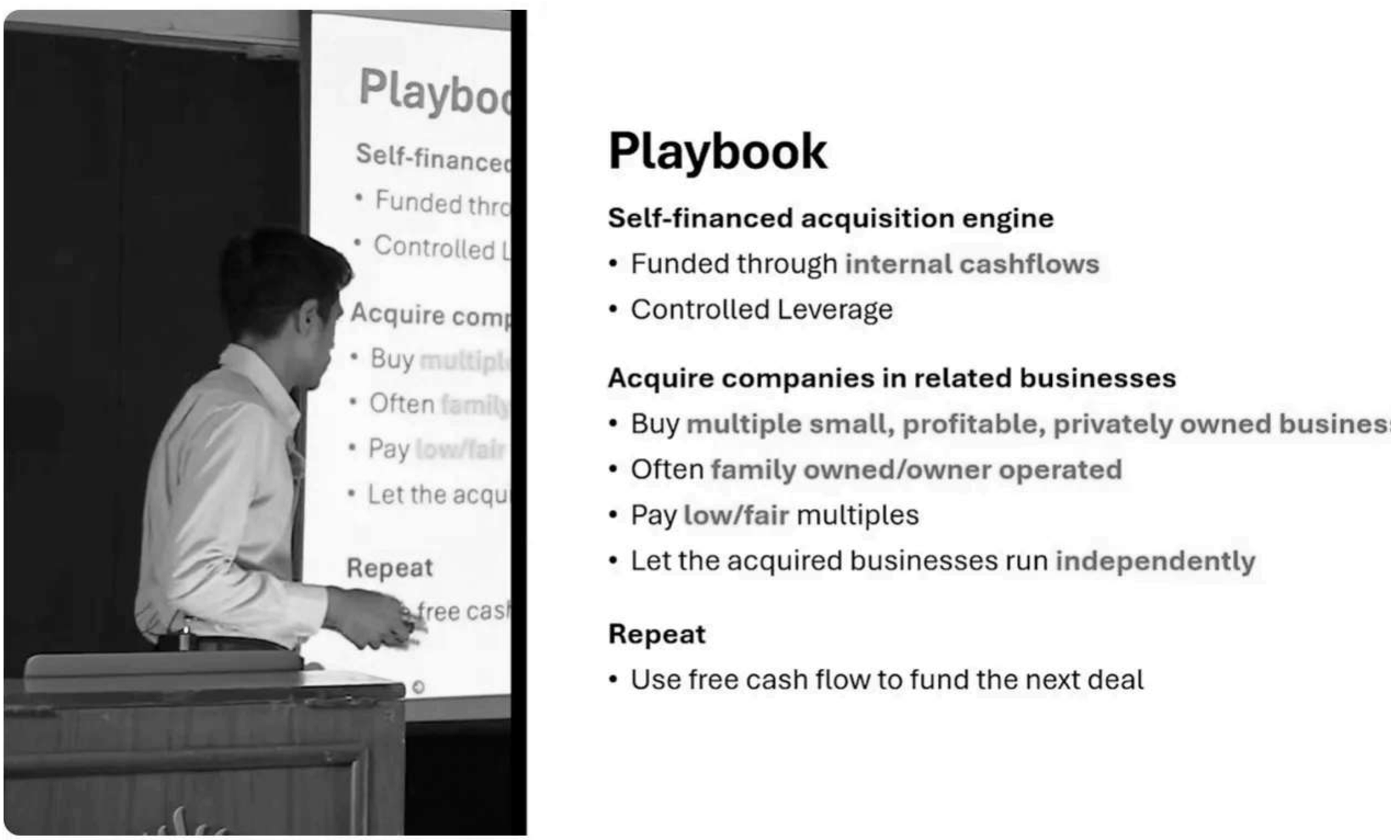
PPFAS just put out a new video: "Successful Traits of Programmatic Acquirers - A Unique Playbook for Repeatable M&A." It's a great watch.



Successful Traits of Programmatic Acquirers - A Unique Playbook for Repeatable M&A

I've been obsessed with this model ever since I dug into Constellation Software, wh is basically the gold standard for this repeatable M&A engine. The interesting part?

I’m starting to see a very similar pattern in Entero. Let's look at the data and see if they are actually running the same playbook.

Is Entero actually following the “Programmatic Acquisition” playbook

After watching that PPFAS video, I sat down to map Entero’s strategy against the traits of a successful programmatic acquirer. On paper, it’s a near-perfect match, bu the execution has some interesting nuances.

Here’s how the checklist looks right now:

1. Self-financed acquisition engine / Funded through internal cashflov

Status: Partially / In Transition.

- **Evidence:** Currently, Entero is using proceeds from its **IPO** and available cash balance to fund acquisitions. However, management has explicitly stated that t long-term goal is to fund this engine through internal accruals.
- **Quote:** Management stated that once they reach their target EBITDA margins (4%+) and working capital days (60 days), “the internal fund accrual will be more than enough to support organic growth. And only for inorganic we will use external capital”. They envision a future where reduced acquisition intensity ar internal accrual generation will remove the need to hit capital markets.

2. Controlled Leverage

Status: Yes.

- • **Evidence:** The company maintains a conservative approach to debt. While the are open to adding “some debt” to fund growth, they emphasize balancing debt and equity to manage interest costs.
- • **Quote:** The CFO mentioned they have currently leveraged “30% to 40% on the working capital,” indicating significant room for additional debt if needed, but they prioritize maintaining a healthy balance sheet.

3. Acquire companies in related businesses

Status: Yes.

- **Evidence:** Entero exclusively acquires companies in the healthcare distribution ecosystem. This includes traditional pharmaceutical distributors and, increasingly, higher-margin **MedTech** (medical devices, surgical consumables) **Specialty Pharma** players.
- **Strategy:** They target three specific types of acquisitions: consolidation in exist geographies, entry into new geographies, and entry into new product portfolios (e.g., medical devices).

4. Buy multiple small, profitable, privately owned businesses

Status: Yes.

- **Evidence:** Entero has completed **34+ acquisitions** since inception. They specifically target regional market leaders with revenues often ranging between ₹100 crores and ₹200 crores.
- **Profitability:** They strictly target **margin-accretive** businesses. Recent acquisitions had blended EBITDA margins of 6% to 8%, which is higher than Entero's consolidated margin.

5. Often family owned/owner operated

Status: Yes.

- **Evidence:** The sources highlight that many targets are sold due to "succession planning" issues where the next generation is not interested in the business.
- **Quote:** Management notes that these distributors have exploited their standalo growth potential and face "issues on succession," making them willing sellers t national platform.

- This is exactly what Constellation does—buying from founders whose kids don want to run the family distribution business.

6. Pay low/fair multiples

Status: Yes.

Evidence: Entero exercises strict valuation discipline, typically paying **single-digit EV/EBITDA multiples** (estimated range of **5x to 8x**).

- **Arbitrage:** This creates an immediate valuation arbitrage, as Entero acquires private assets at ~6-8x EBITDA while trading at significantly higher public mar multiples (often >20x EV/EBITDA).
- **Payback Period:** Management claims that even without operational improvements, the "goodwill" for these acquisitions is recovered within **2 to 2. years** via the acquired entity's earnings.

7. Let the acquired businesses run independently

Status: Nuanced (Federal Structure).

- **Evidence:** They do *not* immediately merge acquired entities. Instead, they keep them as subsidiaries to preserve the local brand goodwill and relationships. Th often retain the original promoters to manage local relationships.
- **Integration:** However, they do **not** leave them completely alone. They integrate the back-end extensively, mandating the adoption of Entero's proprietary technology (ERP, "Entero Direct"), aligning procurement to leverage national scale, and improving compliance.

8. Repeat

Status: Yes.

- **Evidence:** This is a recurring cycle. In FY25 alone, they completed 10 acquisiti They have a dedicated M&A team with a continuous pipeline of active discussions.

9. Use free cash flow to fund the next deal

Status: The End Goal.

- **Evidence:** As noted in point #1, the company is currently transitioning from ca burn to cash-generation. They turned operating cash flow (OCF) positive in H2 FY25 and target full-year positive OCF in FY26. The plan is for this flywheel tc eventually become self-sustaining without further equity dilution.

Summary :

Entero **is** applying the **Consolidation/Roll-Up Playbook** (Arbitrage Multiples, Decentralized Management, Tech Integration), but it is doing so in a **low-margin, working-capital-heavy, and regulated sector**, which makes the execution risk significantly higher than in other industries. It has not yet reached the "Self-Financ Flywheel" stage but aims to get there by FY26-27.

My other blogposts and podcast on Entero -

The McKesson of India? Evaluating Entero's Aggressive Acquisition Strategy

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Is Entero a '10-bagger' or a value trap? Explore the full breakdown of their financials and current valuation right here:

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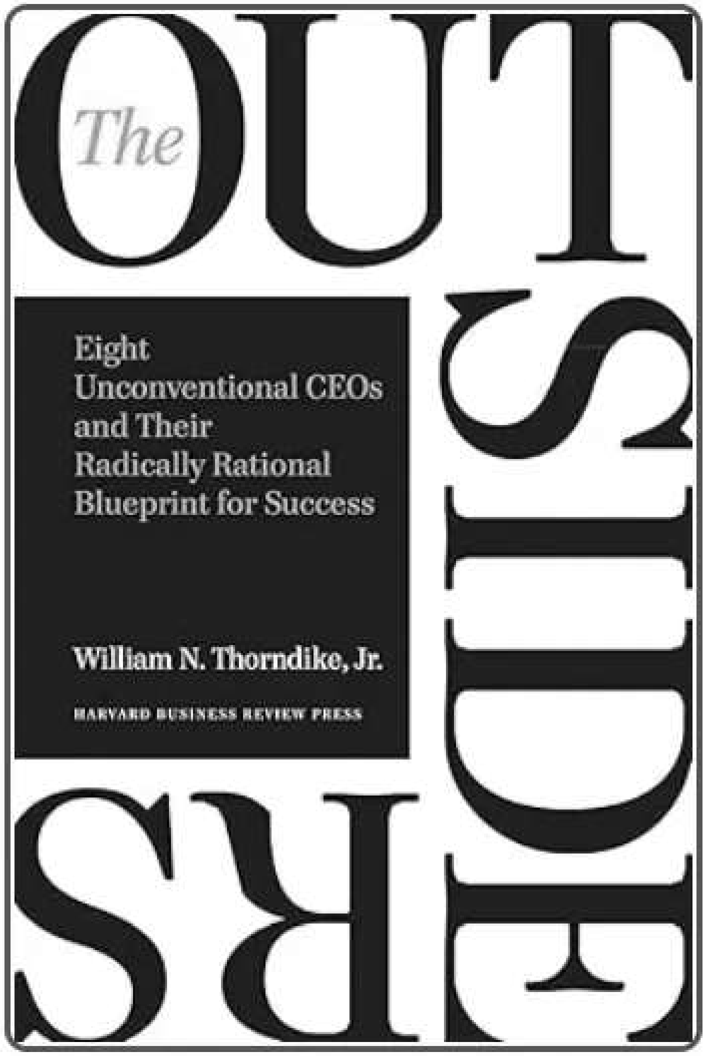
Side note: If you're like me and love spotting these patterns early, you have to read T Compounders. It explains why the 'Federal Structure'—where the parent company handles the back-end while letting local brands stay independent—is actually a superpower for serial acquirers. You can grab it here The Compounders

Combine that with Thorndike's The Outsiders, and you'll never look at a company with high Goodwill the same way again." The Outsiders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